Management's Discussion and Analysis

All dollar amounts are presented in Canadian dollars unless otherwise noted.

February 26, 2020

1. THE BUSINESS

Maple Leaf Foods Inc. ("Maple Leaf Foods" or the "Company") is a producer of food products under leading brands including Maple Leaf®, Maple Leaf Prime®, Schneiders®, Mina®, Greenfield Natural Meat Co.®, Swift®, Lightlife®, and Field Roast Grain Meat Co.™ The Company's portfolio includes prepared meats, ready-to-cook and ready-to-serve meals, valued-added fresh pork and poultry and plant protein products. The address of the Company's registered office is 6985 Financial Dr. Mississauga, Ontario, L5N 0A1, Canada. The Company employs approximately 13,000 people and does business primarily in Canada, the U.S. and Asia. The Company's shares trade on the Toronto Stock Exchange (MFI).

2. FINANCIAL OVERVIEW

	Twelve months ended December 31,		
($ millions except earnings per share)	**2019**	2018	% Change
Sales	**$ 3,941.5**	$ 3,495.5	12.8 %
Net Earnings	**$ 74.6**	$ 101.3	(26.4)%
Basic Earnings per Share	**$ 0.60**	$ 0.81	(25.9)%
Adjusted Operating Earnings[(i)]	**$ 145.4**	$ 215.6	(32.6)%
Adjusted Earnings per Share[(i)]	**$ 0.68**	$ 1.22	(44.3)%

[(i)] *Refer to the section titled Non-IFRS Financial Measures starting on page 33 of this document for the definition of these non-IFRS measures.*

Sales for 2019 were $3,941.5 million compared to $3,495.5 million last year, an increase of 12.8%. Excluding acquisitions, sales increased 5.2%, driven by favourable pricing, mix and volume in meat protein and accelerated growth in plant protein of 23.6%.

Net earnings for 2019 were $74.6 million ($0.60 per basic share) compared to $101.3 million ($0.81 per basic share) last year. Strong commercial performance and favourable resolution of income tax audits were more than offset by strategic investments in plant protein to drive top line growth and heightened volatility in hog prices. Net earnings were negatively impacted by $12.1 million due to non-cash fair value changes in biological assets and derivative contracts, which are excluded in the calculation of Adjusted Operating Earnings below.

Adjusted Operating Earnings for 2019 were $145.4 million compared to $215.6 million last year, and Adjusted Earnings per Share for 2019 were $0.68 compared to $1.22 last year due to similar factors as noted above.

For further discussion on key metrics and a discussion of results by operating segment, refer to the section titled Operating Review starting on page 3 of this document.